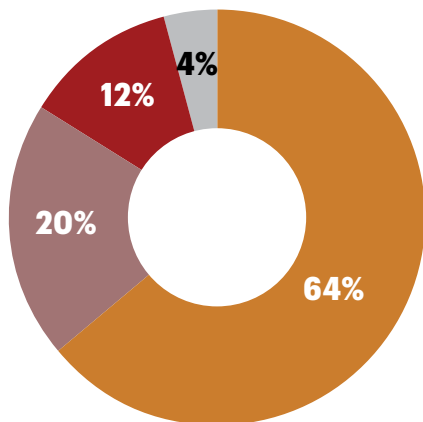


IMFL MARKET BY VOLUME

▶ ABD is the third-largest player in the Indian-made foreign liquor market



● WHISKY ● BRANDY ● RUM ● WHITE SPIRITS

SOURCE JM FINANCIAL REPORT, DECEMBER 2025

would expand capacity to 61 mlpa by FY27.

This forms the first phase of ABD's backward integration to enhance gross margins by around 3% by FY28 from 42% in FY25. This includes PET bottle manufacturing and commissioning a single malt distillery, both in Telangana's Rangapur, about 150 km from Hyderabad. "We chose Rangapur since we had land, power and labour. It became possible to get to top capacity for PET bottles in just about 12 months," says Gupta. To him, it's not just about backward integration but ensuring it is margin accretive. The PET bottle project is part of its overall capex.

In January, ABD bought a non-operational distillery in Uttar Pradesh's Moradabad for ₹70 crore from National Industrial Corporation, with the intention of investing ₹40 crore to upgrade the bottling unit. The state is among ABD's top three markets and,

like Maharashtra, opens the possibility of expanding ENA distillation. Company trackers appear to back the backward integration strategy. "These initiatives reduce the dependence on inputs, improve cost control and structurally enhance margins and earnings quality," says Manoj Menon, Head of Research at ICICI Securities. Recently, ABD announced that it would acquire a 50% stake in Kion Blenders Industries, a company in the business of distilling, blending, bottling, packaging and distributing alcohol. The deal will entail setting up a distillery in Andhra Pradesh at an investment of ₹300 crore. ABD has a significant presence in Andhra Pradesh, Telangana, UP and Maharashtra, which are among the top five to six markets in India.

In addition to margin enhancement, ABD has been working towards optimising costs to include reducing interest costs, an exercise done post-listing. This is an important component of overall capital discipline, with the thrust being on generating more cash. Chetan Mahadik, Associate Vice President, Systematix Research, underscores that strict gross margin discipline at the unit level is central to ABD's strategy. "The company evaluates profitability at a state-brand SKU (stock keeping unit) level for all brands and exits variants that fail to meet its threshold gross margin," he says. In Uttar Pradesh—a key alcohol-consuming market—the 750 ml SKU of Officer's Choice was phased out because it did not meet the required gross margin criteria.

Going public helped the company to reduce debt, creating headroom for strategic capex. The decision to invest in a malt distillery has been driven by the desire to optimise costs and capitalise on the emerging opportunity in the single malt market, the aim being to achieve "margin security." Potentially, it also provides the company a chance to participate in the global single malt story.

"For ABD, the profitability story lies in its backward

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◀ In October 2024, ABD acquired Minakshi Agro Industries



◀ ABD has announced a capex of ₹525 crore, including ₹260 crore to achieve 100% captive ENA at Minakshi's plant



◀ Its IPO helped it reduce debt, creating headroom for strategic capex